

2. *Quarterly Statements.* Publication of results quarterly is considered as the standard procedure in nearly all lines of industry. The New York Stock Exchange has been urging quarterly reports with increasing vigor and has usually been able to make its demands effective in connection with the listing of new or additional securities. Certain types of businesses are considered—or consider themselves—exempt from this requirement, because of the seasonal nature of their results. These lines include sugar production, fertilizers, and agricultural implements. Seasonal fluctuations may be concealed by publishing quarterly a moving twelve-months' figure of earnings. This is done by Continental Can Company.³

It is not easy to understand why all the large cigarette manufacturers and the majority of department stores should withhold their results for a full year. It is inconsistent also for a company such as Woolworth to publish sales monthly but no interim statements of net profits. Many individual companies, belonging to practically every division of industry, still fail to publish quarterly reports. In nearly every case such interim figures are available to the management but are denied to the stockholders without adequate reason.

The data given in the quarterly statements vary from a single figure of net earnings (sometimes without allowance for depreciation or federal taxes) to a fully detailed presentation of the income account and the balance sheet, with president's remarks appended. General Motors Corporation is an outstanding example of the latter practice.

3. *Semiannual Reports.* These do not appear to be standard practice for any industrial group, except possibly the rubber companies. A number of individual enterprises report semiannually—e.g., American Locomotive and American Woolen.

4. *Annual Reports.* Every listed company publishes an annual report of some kind. The annual statement is generally more detailed than those covering interim periods. It frequently contains remarks—not always illuminating—by the president or the chairman of the board, relating to the past year's results and to the future outlook. The distinguishing feature of the annual report, however, is that it invariably presents the balance-sheet position.

³ In March 1936 the New York Stock Exchange suggested that all listed companies follow this procedure instead of publishing the usual quarterly earnings. This suggestion aroused great opposition and was withdrawn the next month.